restructure the company. He cut capital expenditures and research development by $1 billion, cut employment by the thousands, and instituted an executive compensation program that was based on the performance of General Dynamics' share price.

It was not long before Anders began to realize that the defense industry had fundamentally changed and that to be successful, General Dynamics would have to take more dramatic steps than just pinching pennies. There simply was not enough defense business to go around. A smaller defense budget would ultimately require companies to downsize, diversify into nondefense businesses, or dominate what little defense business was available.

Tenet: The Institutional Imperative

In October 1991, Anders commissioned a consultant's study of the defense industry. The conclusions were sobering: When defense companies acquired nondefense businesses, failures occurred 80 percent of the time. As long as the defense industry was burdened with overcapacity, none of the defense companies would achieve efficiencies. Anders concluded that to be successful, General Dynamics would have to rationalize its business. He decided that General Dynamics would keep only those businesses that (1) demonstrated a market acceptance of its franchise-like product and (2) could achieve critical mass, the balance between research and development and production capacity that produces economies of scale and financial strength. Where critical mass could not be achieved, Anders said, the business would be sold.

Initially, Anders believed that General Dynamics would focus on its four core operations: submarines, tanks, aircraft, and space systems. These businesses were market leaders, and Anders figured they would remain viable even in a shrinking defense market. The rest of General Dynamics' businesses would be sold. So, in November 1991, General Dynamics sold its Data Systems to Computer Sciences for $200 million. The next year the company sold Cessna Aircraft to Textron for $600 million and its missile business to Hughes Aircraft for $450 million. In less than six months, the company raised $1.25 billion by selling noncore businesses.